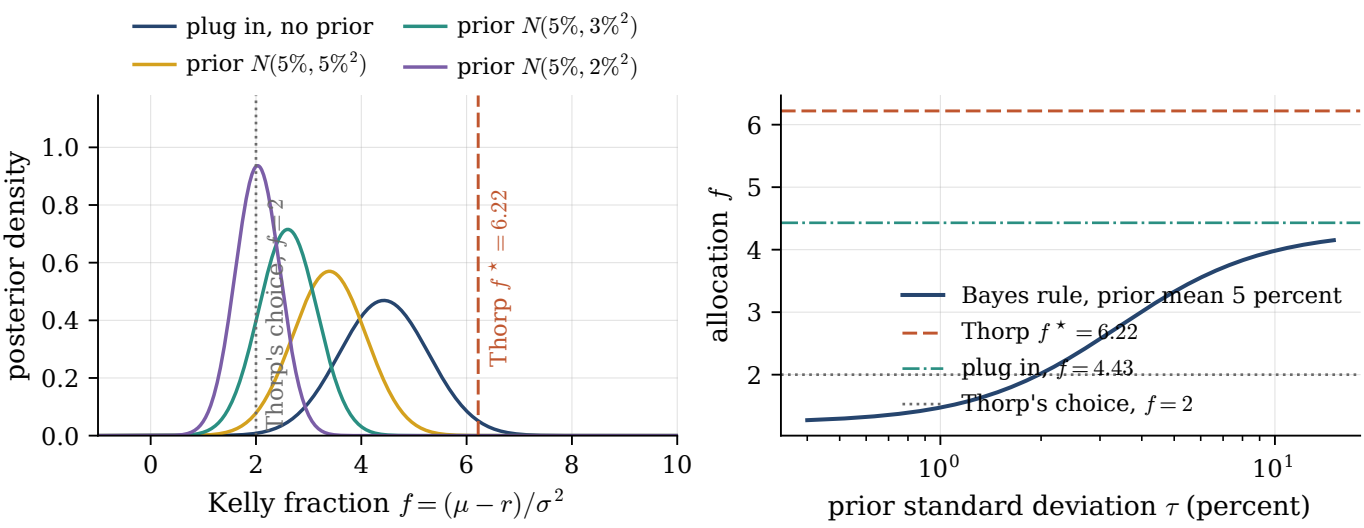
plug in, no prior
prior $N(5\%, 3\%^2)$
prior $N(5\%, 5\%^2)$
prior $N(5\%, 2\%^2)$
posterior density
Thorp's choice, $f = 2$
Thorp $f^\star = 6.22$
Kelly fraction $f = (\mu - r)/\sigma^2$
allocation f
Bayes rule, prior mean 5 percent
Thorp $f^\star = 6.22$
plug in, $f = 4.43$
Thorp's choice, $f = 2$
prior standard deviation τ (percent)